financial agencies had played a major a role in providing housing finance. They operated by gathering savings of the people and utilizing these funds to finance construction and sale of residential houses. HDFC was the first housing finance agency established in India on this model. HDFC would raise deposits including deposits linked with housing loans.

Deepak recalls that in those days he heard people saying, ‘We have two bubbles brewing in Mumbai—Reliance and HDFC.’[20] Reliance Industries was very new in those days and growing rapidly; and as for HDFC nobody knew if it would succeed. For Parekh, as much as for others who had supported him, it was a leap of faith. HDFC, in all, raised ₹5 crores from the initial investors and the IPO which was subscribed by small shareholders applying for five to ten shares of ₹100 each. The initial capital had now been raised—no small achievement at a time when the capital market was in its infancy. But the going was not smooth. Deepak recalls that the public issue devolved and the ₹100 share started quoting at ₹80–85 on listing.

Parekh was very critical of the impact of the Urban Land (Ceiling and Regulation) Act, 1976, which according to him had paralyzed even the limited housing construction in the country. In metropolitan cities like Bombay and Delhi, the Act had failed to curb speculation in real estate. The Act, particularly in its implementation, violated the criteria of equity and efficiency in the usage of land. It required substantial modification, if not suspension. The solution lay not in imposing negative measures but in taking positive steps which would increase easy utilization of available land for housing and in increasing the production of all building materials. Later, even when the Act was repealed by the Centre and by many States, the problem remained. No hearings took place because the judiciary felt that the Act had been abolished. When the Act was abolished, the State Governments should have also withdrawn all pending cases with it. This was not done and there are numerous pending cases all over India and with no decision in sight even in the distant future. As Deepak Parekh put it, ‘Land is stuck, cases are never heard, how do we solve this deadlock?’

Another issue those days was the huge black money component in all realty deals, in some cases as high as 60 percent. It was HDFC which slowly changed the equation by the expedient of what they called ‘appraised value’. If HDFC gave 70 percent of the white component it was